

The table below details the changes in the ASHI defined benefit obligation, including the impact of actuarial gains/(losses):

	December 31, 2020	December 31, 2019
<i>(in thousands of Swiss francs)</i>		
Defined benefit obligation at beginning of year	313,694	303,128
Interest cost	1,559	2,711
Current service cost	26,559	15,461
Contribution paid	-3,928	-3,731
Actuarial (gain)/loss on obligation:		
Experience (gain)/loss	2,400	-37,983
Medical cost trend rate	-9,234	-44,923
Discount rate and currency weighting	19,668	42,491
(Gain)/loss on change in financial assumptions	10,434	-2,432
Medical claims age-grading	106,499	38,257
Other demographic assumptions	-4,462	-1,717
(Gain)/loss on change in demographic assumptions	102,037	36,540
Defined benefit obligation recognized at end of year	452,755	313,694

As can be seen in the table above, the most significant movement in the 2020 ASHI liability is the result of actuarial losses from changes to the medical claims age-grading factors. Consistent with the approach taken in 2019, in the 2020 actuarial calculation age-grading factors have been applied to premiums to derive the expected future underlying medical claims costs for active staff, retirees and dependents. The 2020 age-grading factors were based on an analysis of claims data over a four-year period which led to changes in the factors compared to those applied in the prior year. No specific modifications were made to any of the 2020 actuarial assumptions, including those related to medical claims or mortality rates, as a result of the COVID-19 pandemic. Currently there is insufficient available information to understand the long-term effects of COVID-19 on these future trends. Contributions paid by the Organization for ASHI totaled 3.9 million Swiss francs for 2020 (3.7 million Swiss francs in 2019). Expected contributions to ASHI in 2021 are 4.9 million Swiss francs. The weighted average duration of the defined benefit obligation as at December 31, 2020, was 23 years. The following table details the present value of the defined benefit obligation and experience adjustments on the ASHI liability for 2020 and the previous four years:

	2020	2019	2018	2017	2016
<i>(in thousands of Swiss francs)</i>					
Defined benefit obligation	452,755	313,694	303,128	304,376	320,888
Experience (gain)/loss adjustments on plan liability	2,400	-37,983	-3,092	-17,122	3,377

The following sensitivity analysis shows how the defined benefit obligation would have been affected by changes in significant actuarial assumptions, the discount rate and the rate of sickness premium increase. The per cent changes used in the analysis are considered reasonable based on historical movements:

	0.25 per cent decrease in discount rate 0.05%	Discount rate as applied 0.30%	0.25 per cent increase in discount rate 0.55%
<i>(in thousands of Swiss francs)</i>			
Defined benefit obligation as at December 31, 2020	479,052	452,755	428,350
Per cent variation	5.8%		-5.4%

	1 per cent decrease in medical cost trend rate 1.90%	Medical cost trend rate as applied 2.90%	1 per cent increase in medical cost trend rate 3.90%
<i>(in thousands of Swiss francs)</i>			
Defined benefit obligation as at December 31, 2020	367,956	452,755	563,671
Per cent variation	-18.7%		24.5%